will take care of necessary safeguards of customer identification, transaction validation, velocity checks, etc. We need more such innovative products, some of which mobile companies are providing.

In India, despite the high mobile density, it is also a reality that most of the handsets are very basic ones and many of the mobile connections are prepaid subscriptions. These are important constraints. We have a great opportunity for banks and telecom service providers to come together to deliver mobile banking services of all kinds in a seamless and secure manner to their customers. In the next few months, we will accelerate the dialogue between key players.

One of the difficulties the poor and small businesses have in accessing credit is the lack of information about them, both upfront as they are being evaluated for credit, and after lending where the lender has to monitor them. If savings and payments products are sold widely, and information, including payments to mobile companies, utility companies, as well as the government, collected, then the excluded can build information records that will help them access credit. If, in addition, negative information on defaults is shared in a fair and responsible way through the financial network, every individual borrower will have something at stake – their credit history – which can serve to encourage timely repayment. This, in turn, can improve the willingness of banks to lend.

Finally, let me turn to consumer literacy and protection. As we reach more and more of the population, we have to be sure that they understand the products they are being sold and have the information to make sensible decisions. Caveat emptor or let the buyer beware is typically the standard used in financial markets – that is, so long as the buyer is not actively misled, she is responsible for researching her product choices and making purchase decisions. While this puts a lot of burden on the buyer to do due diligence, it also gives her a lot of